

The tipping point for innovation in B2B payments

Discover opportunities through growing Greater Bay Area – ASEAN economic ties.



VISA



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Introduction

The Greater Bay Area is primed for global business.

Are you?

The Greater Bay Area (GBA) has fulfilled its ambitions to be the most innovative, technologically advanced and economically open region in Greater China. This has set the stage for the region to become a beacon of economic integration and innovation by 2030, one that fosters growth and collaboration for global trade.

The time is now for fintechs and businesses to take advantage of the significant global opportunities the strategic location and infrastructure the GBA offers. From the support of the Chinese Government to the advances in infrastructure and technologies, everything is in alignment.

The GBA is a beacon of economic innovation for businesses – fuelled by groundbreaking innovations in AI which are changing the way businesses can finance their supply chains, the way businesses and wealthy individuals invest, and how funds are received and disbursed. The huge promise for the GBA is palpable.

As a partner to hundreds of companies already doing business within the GBA, Visa is uniquely placed to share insights on how to facilitate frictionless financial transactions in the GBA so that you can maintain long-term growth in the area, all while accelerating your growth globally.



The Greater Bay Area – a powerful global economic hub

With its increasingly wealthy, young demographic, its cities attracting students and entrepreneurs, and home to many of Greater China's billionaires, GBA is the place of not only today's investment but the hub of Greater China's future prosperity.

From the Shiziyang Bridge linking the east and west banks of the Pearl River, to the region's railways linking making key cities accessible within one hour, the planning behind the GBA's infrastructure has been relentlessly focused on facilitating a seamless flow of trade, people and production in the region. Its infrastructure is set up for rapid, efficient trade within Greater China and globally.

The banks and financial institutions in alignment with these hyper-efficient flows will be the ones who will be in the best position to attract the most business.

Location

The nine Guangdong-Hong Kong-Macao Greater Bay Area (GBA) mainland cities:

- Shenzhen, Dongguan, Foshan, Huizhou, Zhuhai, Foshan, Zhongshan, Jiangmen, Shaoxing
- Hong Kong
- Macao

The GBA is a vital link in international trade and a critical export hub. The region accounts for approximately 37% of the country's exports and 26% of its imports in 2020. (*China Customs Statistics, 2021*)



2023 GBA contributed
11%
of Greater China's
economy²



The GDP of the GBA
is expected to reach
US \$4 trillion
by 2030¹



¹ Statista: <https://www.statista.com/topics/5333/greater-bay-area-in-china/>

² Source GDTODAY: https://www.newsgd.com/node_a21acd2229/de6d3ce4b4.shtml



Infrastructure

Enhancing supply chain resilience is a key goal of 72%³ of GBA companies. Today's advanced digital solutions are helping GBA companies achieve this goal, ensuring the efficiency and innovativeness of GBA supply chains, with a focus on key markets such as Singapore, Indonesia, and Malaysia. One of the key hurdles for GBA businesses entering ASEAN markets is maintaining data security.

AI and machine learning have a pivotal role in revolutionizing industries and financial services, from tracking shipments in real time across Greater China, to analyzing fraud in real-time, technologies that enhance security, improve customer experiences, and drive innovation.

Both AI and machine learning hold tremendous present and future promise for the GBA. Visa is actively contributing through advanced technological solutions and strategic partnerships.

Investing in finance freedoms

By 2030, the GBA will rival the San Francisco and the Tokyo Bay Areas respectively in terms of its significance to global trade and investment. Mainland China's Government is accelerating ties between key cities in the GBA to make this possible, from the 'world's factory' that is Dongguan to the global financial center of Hong Kong.



Guangdong, Greater China's economic powerhouse

Over 34,000 textile companies,

7,000

of these are factories
supplying fashion-related items

(Source BBC January 2024)

³ GBA Supply Chain Diversity: Enhancing Connectivity Among ASEAN, Hong Kong, and the Mainland, The Hong Kong Trade Development Council (HKTDC) and UOB Hong Kong

A key initiative of the GBA is to attract foreign investors. In 2020, two initiatives proved to be game changers. First, the People's Bank of China introduced new measures aimed at liberalizing Mainland China's controls on foreign exchange and foreign currency remittance, followed a few months later by the signing of the Regional Comprehensive Economic Partnership (RCEP). This signing created the world's largest free trade area with the goal of boosting trade and investment between the GBA and other member countries such as Australia, South Korea and Japan - covering 30% of the global population and economy.⁴

The GBA has opportunities for all financial organizations thanks to the coordination between cities in the Greater Bay Area across all areas of development:

- Banking
- Finance
- Insurance
- Electronic Payment Systems
- Globalisation
- Fintech
- Capital Markets
- Financial Market Infrastructure
- Asset Management
- Capital Management



These initiatives have made possible the region's thriving export market. Visa estimates there will be 2.7 million SMB clients exporting from GBA. The challenge for businesses is to capture these SMB payment flows.



Jody Aldridge
Senior Director, Visa Direct



In the last 20 years the wealth in Greater China's market has grown. There were 40,000 millionaires 12 years ago, and today there are 6 million. The GBA is evolving to be the gateway to accessing this wealth.



Jonathan Wang
Head of Commercial and Money Movement Solutions, Greater China, Visa

Vertical spotlight: wealth management

By 2030, the GBA will be set to be one the largest economies in the world, offering huge opportunities for the provision of wealth management services to its new generation of young entrepreneurs.

GBA Connect has been key to opening access to the huge market in onshore opportunities. It connects banks through different jurisdictions, through a secure closed loop ecosystem which monitors and tracks funds.

Digital technologies have evolved to bring together disparate markets into one, unified economic strategy. This enables financial institutions to cope with the complexity of cross-boundary wealth management regulations and offer enhanced, tailored customer experiences. Digital transformation in wealth management, insurance and other products and services is transforming risk management and anti-fraud services.

⁴ Source: Petri & Plummer, 2020.

Challenges facing businesses in the GBA



Visa, committed to facilitating expansion into the GBA

The GBA of 2030 will rely on interoperability to achieve its global potential. Visa, already a partner to thousands of businesses in Greater China, is playing a key role in ensuring that transactions are seamless between the ten core markets, and those beyond Greater China's shores.

Yet despite all the advances and innovations, dynamic, successful businesses in the GBA are often hindered by traditional banks' attitudes to financing and to their clients.

Let's look at two challenges businesses and FIs will need to solve when doing business globally from the GBA and within the GBA: keeping up with regulations and the ability to offer clients a seamless, all-in-one payments service.

You need to be able to thrive in a time of rapid change.

A fashion company's challenge

A huge fashion company in Guangzhou consolidates all the supply chains for fashion product manufacturing. To facilitate secure, fast payments to the suppliers, the fashion company has to maintain ten separate channels (eg. ebay, amazon channels, middle east shopping channels). To do this, the fashion company is forced to use different service providers, making their treasury heavy.

Solution: The perfect model would be for the fashion company to centralize their Treasury management into one central account. They are not treated as a top tier client by their global bank, despite making more than \$15 million a year. Their growth is being hindered. Increasingly, fintechs are providing the consistent, seamless money management experience large companies need to thrive.



Security and fraud prevention are fundamental to Visa. In 2023⁵ Visa helped block \$40 billion in fraudulent activity, nearly double from the year prior.⁶ New Visa Protect solutions are designed to address client needs and utilize the company's deep expertise in AI.

The challenge for fintechs

Fintechs are competing with each other to provide services to clients like the Guangzhou-based fashion client because they know they need a collection and payout service. But it's important for these businesses to think about their long-term strategy and future plans.

For fintechs wanting to establish themselves in the GBA and offer attractive seamless, cost-effective payment services to GBA-focused businesses, getting to market fast is extremely important. So it's vital that they find an easy, smooth way to get to market, to test the water, to build a seamless platform with the capabilities their future customers will demand.

Solution: Offering a one-stop solution is a great strategic benefit for fintechs and banks looking ahead in GBA. However, this solution requires a lot of heavy investment and effort. For example, if a fintech's customer wants collections in EUR, USD and GBP, this is a lot of effort to set up.

While fintechs and banks can choose to build a modern money movement network on their own, there are several considerations that can hinder their efforts:

- Unique requirements for each market.
- The ability to ensure that transactions are funded.
- Complexity and cost in building out network endpoints.
- Operational risk.
- High cost of managing and operating infrastructure.

Visa's goal is to make it easier for its onshore entities' clients to capture the huge export opportunities GBA offers.

Innovation is here, but so are regulatory challenges



66% Banks, fintechs, PSPs say compliance cost was a 'significant challenge'.

Source: Financial Action Task Force (FATF) survey, 2021

GBA-based fintechs and non-bank financial institutions with global ambitions encounter different supervisory regimes and the possibility of coming under multiple licensing and regulatory requirements across the jurisdictions they operate in. A key challenge is the lack of a common regulatory framework across the region for financial services and payments to support cross-border trade, commerce, and payments.

APAC has no license-sharing arrangements: laws and regulations differ between the region's countries and territories. For instance, the ten-member bloc of Southeast Asian countries (ASEAN) has no adopted uniform set of regulations governing financial services and payments. Neither is there an ASEAN regulator.

This poses challenges to GBA-based fintechs and their clients who want to grow and expand. As do the different laws and regulations around data privacy, data localization and data storage, which can differ country to country. Firms, especially startups, can find themselves having to navigate not just complex cross-border business and payments transactions but also managing regulatory and compliance risks. This can be complex and costly.

GBA's licensed fintechs and businesses can partner with established solution providers such as Visa Direct to streamline operations and mitigate the challenges of managing diverse compliance obligations across APAC and beyond. Visa has an existing network set up with regulatory and compliance frameworks to navigate each market within, and beyond, the region.

VISA, innovating to enable competitiveness

Visa: harnessing AI to enable a successful GBA expansion

Machine learning has changed the world of finance, offering unprecedented time-saving efficiencies in onboarding, customer service, capturing customer data and tech support. Digital wealth platforms can harness AI insights when deciding how and when to allocate assets.

Fintechs, banks and wealth platforms can drive more revenue and reduce cost through AI, freeing up time and money to invest in other areas of the business, and help it grow and be more productive. The potential for the next generation of AI to transform the payments ecosystem — making it safer, smarter and more seamless is vast. It is, and will be, a critical factor for the success and competitiveness of payment companies and other industries going forward.

Visa is a network company, working with licensed partners. So even if you don't have the licenses in Greater China, you can directly manage FX control and documentation through partners. Visa works with licensed, regulated partners to help you be compliant with the region's regulations.

Visa's AI infrastructures ensure the data transmission can fulfil the demands of the local policies based on our licensed partners' requirements, to make sure the collection and payment transaction is seamless.

For more than 30 years, Visa has been at the forefront of AI in payments, investing \$3.3 billion in our AI and data infrastructure in the last decade alone. In 2024 we introduced three new AI-powered risk and fraud prevention solutions, as part of the Visa Protect suite.

Trust, security and reliability are essential to every cross-border transaction. Consumers and businesses expect banks and fintechs to be safe and secure. A trusted partner is critical to gain this trust.



Visa Protect

Visa Protect is part of a broad suite of Visa value-added services that have grown to nearly 200 products, spanning five high-demand categories:

- Acceptance
- Advisory
- Issuing
- Open Banking
- Risk and Identity

These are designed to reduce fraud across immediate account-to-account and card not present (CNP) payments, as well as transactions both on and off Visa's network.

Conclusion

A strategic partnership with Visa Direct gives fintechs and their clients access to the significant benefits of the efficiency and security enabled by AI and machine learning while benefiting from a trusted, global network with over 60 years' experience in payments.

To find out how Visa Direct can help you be the trusted provider for all your clients' cross-border transactions visit visa.com/visadirect



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